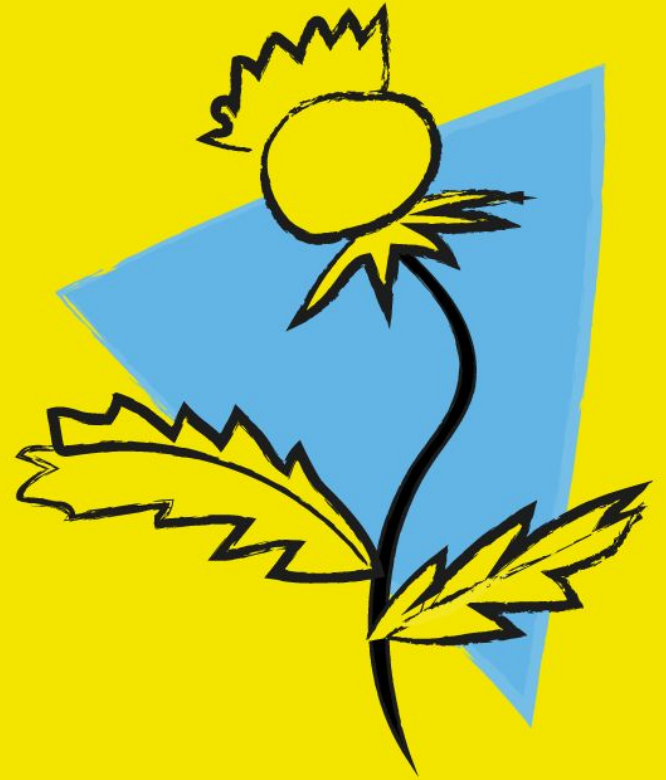


High-Growth in Scotland

Mapping out the most ambitious
businesses in Scotland in 2020



Beauhurst

What we mean by 'ambitious'

We use 8 criteria to identify high-growth and ambitious companies. Each of these is a sign of external validation that a business is either actively growing or creating ambitious growth plans.

All companies featured in this report have met at least one of these growth triggers.



Equity investment



Venture debt



Accelerator attendance



Grant recipients



Scaleups



High-growth lists



MBO/MBI



Academic spinouts

Stages of Evolution

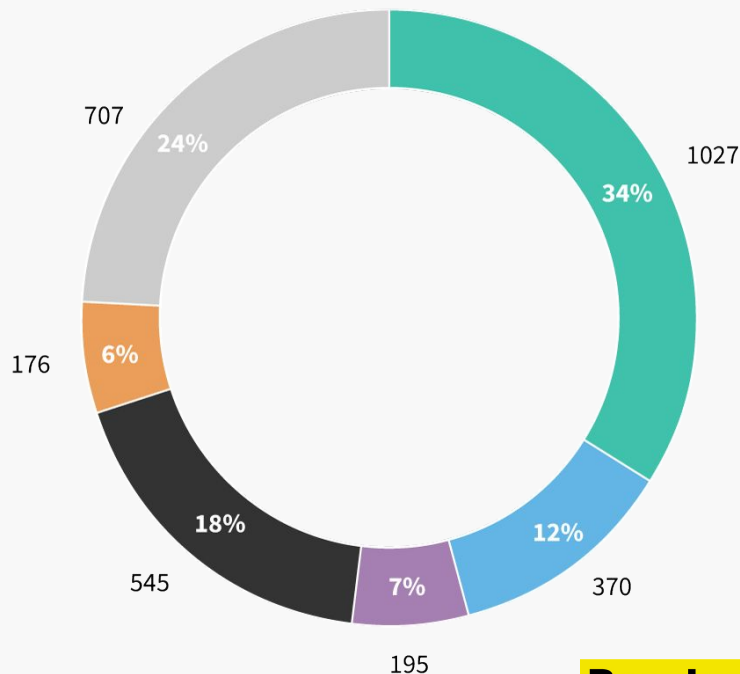
There are 2,137 active, ambitious companies in Scotland. This marks an increase of 195 newly tracked companies in the last 12 months, and represents 8% of all ambitious companies in the UK.

A further 707 companies have previously hit one of our tracking triggers, but are now no longer trading. 146 of these companies have died within the last 12 months. This is a higher death rate than in other areas of the country, where just 16% of ambitious businesses have died.

176 have successfully exited the private market, either through an IPO or an acquisition. 43 of these exit events have taken place in the last 12 months.

Stages of evolution of ambitious businesses in Scotland

Seed Venture Growth Established Exited Dead



Methods of Growth

Attending a competitive accelerator programme is the most popular method of growth for ambitious companies in Scotland. This differs from England and Wales, where equity fundraising is the most common method of growth.

Scotland also has an unusually high proportion of spinout companies. 6% of ambitious businesses have been spun out from an academic institution — double the UK average.

The prevalence of companies growing through accelerators is due in no small part to Natwest's Entrepreneur Accelerator (operating as RBS in Scotland).

Given the sophistication of the country's angel networks and the support of the Scottish Investment Bank, it's not surprising that the proportion of equity-backed businesses matches the south of England.

HENRY WHORWOOD, HEAD OF RESEARCH & CONSULTANCY

Most popular methods of growth in Scotland

Accelerator attendance

1,296

Equity funding

1,177

10% Scaleup status

557

20% Scaleup status

435

Large innovation grant received

379

Academic spinout

183

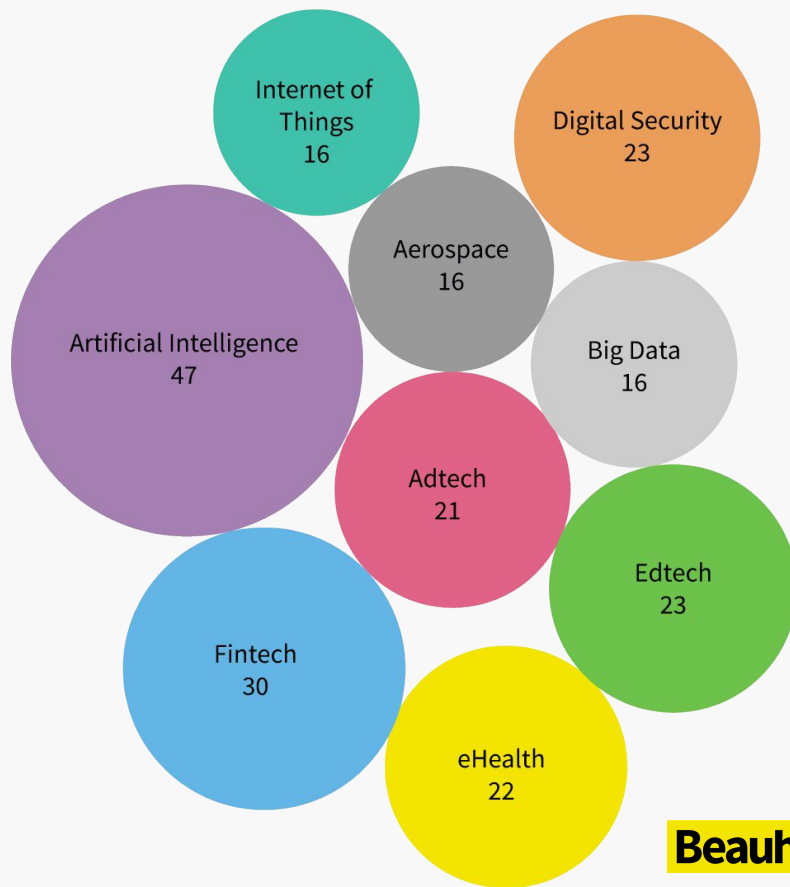
Sectors

Most of the ambitious companies in Scotland operate business and professional services or in the industrials sector. Technology is the third most common sector.

Within tech, artificial intelligence is the most common buzzword, with 47 companies operating in the space. The majority of these are based in Edinburgh, making it the third top AI-cluster in the UK, behind London and Cambridge.

Fintech, edtech and digital security are also popular areas of operation.

Top tech sectors in Scotland by number of companies



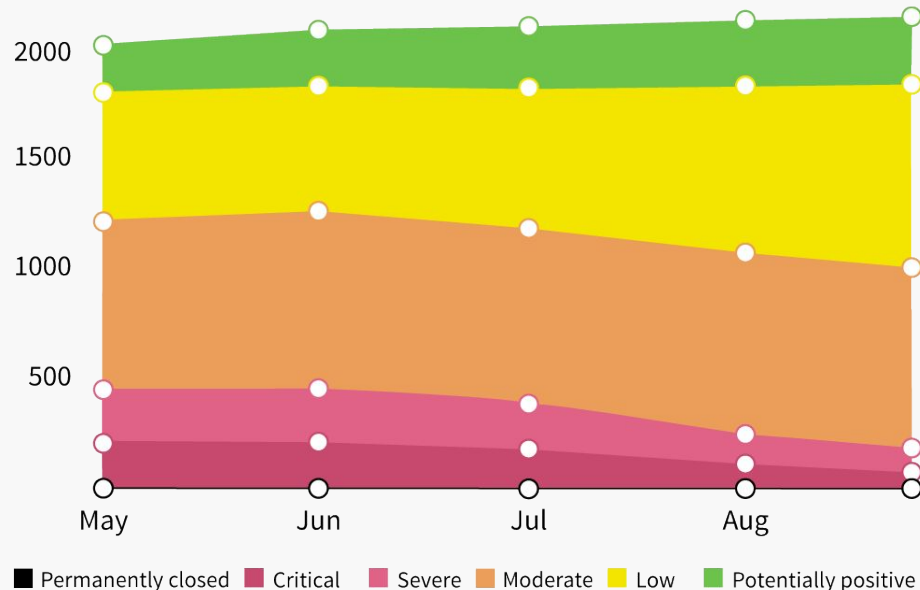
Impact of COVID-19

The coronavirus outbreak has had a massive impact on businesses across the UK. But those in Scotland have been slightly harder hit.

This impact has diminished over time, with several hundred companies moving from a negative to low impact over the past few months. As it stands, 39% of ambitious businesses in Scotland are experiencing a low impact from the pandemic, and 14% are thought to be seeing a positive impact. This includes a surge in demand and creating job opportunities. 3% of businesses are in the critical category.

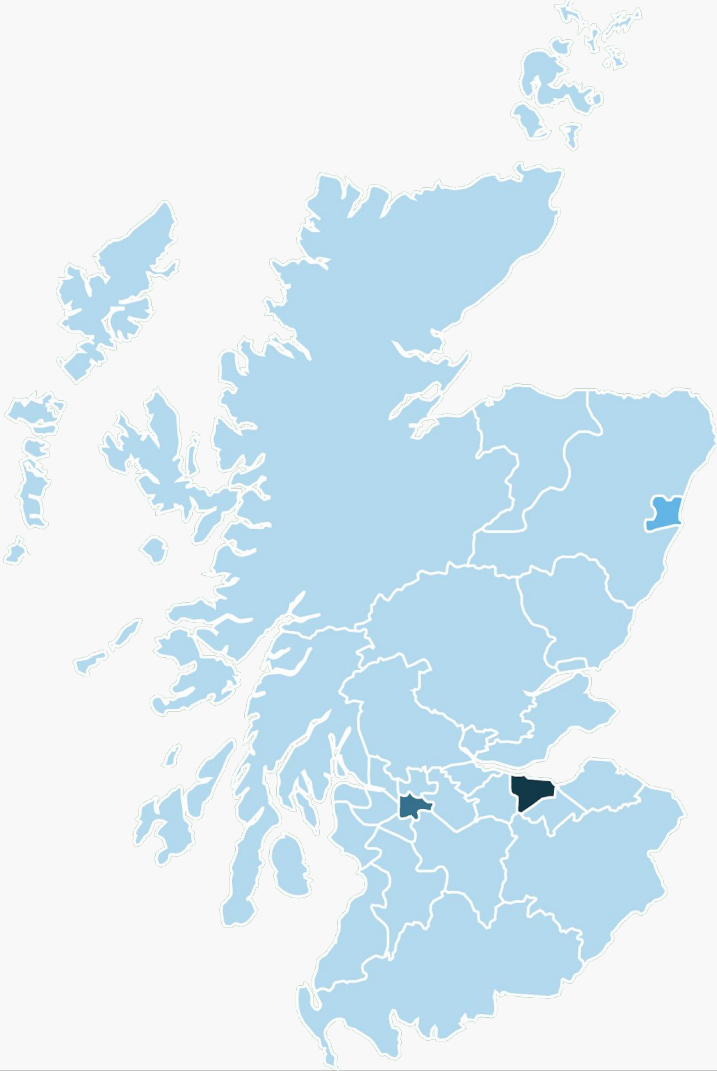
Across the rest of the UK, the numbers are slightly more positive. 45% of businesses are currently experiencing a low impact, 18% a positive impact, and just 1% are in the critical category.

The impact of COVID-19 on businesses in Scotland



Geography

Aberdeen City	150
Aberdeenshire	81
Angus	19
Argyll and Bute	18
City of Edinburgh	566
Clackmannanshire	6
Dumfries and Galloway	24
Dundee City	51
East Ayrshire	29
East Dunbartonshire	16
East Lothian	31
East Renfrewshire	14
Falkirk	22
Fife	63
Glasgow City	392
Highland	78



Heat map showing the number of ambitious companies by local authority

Inverclyde	10
Midlothian	36
Moray	24
North Ayrshire	34
North Lanarkshire	85
Orkney Islands	8
Outer Hebrides	6
Perth and Kinross	43
Renfrewshire	49
Scottish Borders	29
Shetland Islands	5
South Ayrshire	53
South Lanarkshire	83
Stirling	44
West Dunbartonshire	13
West Lothian	55

Investments over time

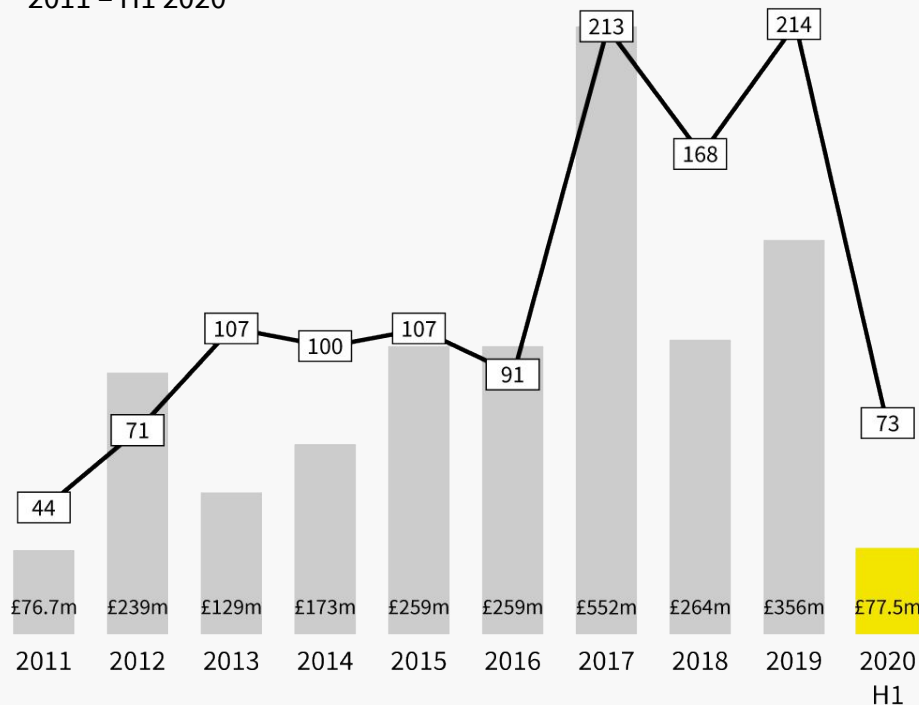
2017 was an especially active year for equity investments in Scotland. 213 deals were completed, with a combined worth of £552m. 2019 was another strong year, with a record 214 deals completed. But this activity looks set to drop in 2020, and by quite a long way at that.

Just 73 investments have been announced in the first half of this year, totalling £77.5m. If investor activity continues on this same trajectory through the second half of the year, then 2020 could see the smallest amount of investment for Scottish businesses since 2013.

Scottish companies seem to be really struggling to access finance in the wake of lockdown. If they were raising in line with the rest of the UK, we would expect nearly £150m to have been raised so far this year.

HENRY WHORWOOD, HEAD OF RESEARCH & CONSULTANCY

Number of announced deals and amount raised in Scotland
2011 – H1 2020



Accelerators

14% of all accelerated businesses in the UK reside in Scotland. The most popular programme is Entrepreneurial Spark, which has accelerated 880 Scottish businesses.

The Entrepreneurial Spark programme originally ran in partnership with the Royal Bank of Scotland's Entrepreneur Accelerator network. In 2018, after three years, the bank brought the fully funded programme in-house, and has so far supported 353 companies in Scotland. Two-thirds of these have been accelerated in the past 12 months.

Accelerator programmes are also the most common method of growth for women-owned businesses, with female founders often opting for structured programmes instead of more transactional funding like equity investment. This may explain why Scotland is a popular place for female-founders to grow their businesses.

Top accelerator programmes by number of Scottish companies attended since 2011

Entrepreneurial Spark

880

Entrepreneur Accelerator

353

SE International Scaleup Programme

50

Elevator Aberdeen

36

ELITE

21

Female founders

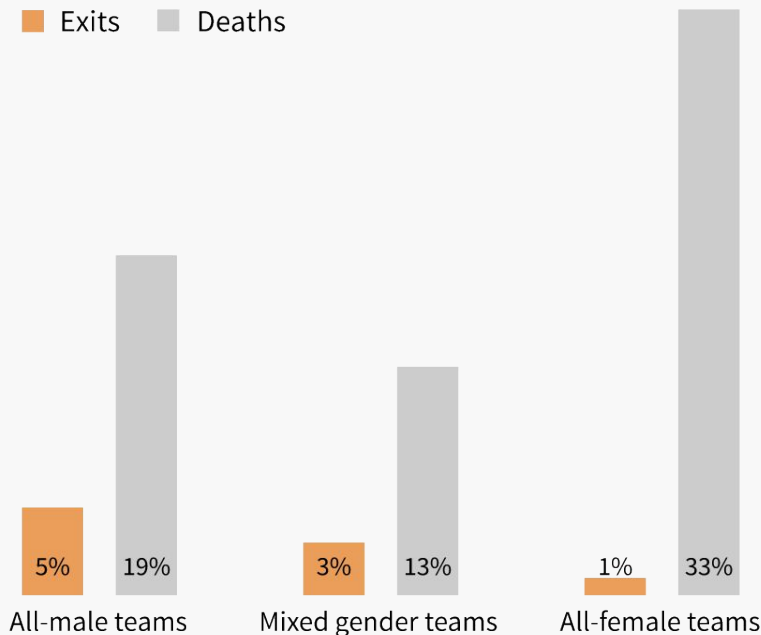
Scotland has one of the highest rates of ambitious female-founded businesses in the UK. Currently, 31% of ambitious businesses have at least one female founder, second only to Northern Ireland, where 33% of ambitious businesses have a female founder.

But it's not all good news for women entrepreneurs in Scotland. Those companies that have all-female founding teams have an incredibly high death rate at 33%, and an exit rate of just 1%. These figures stand at 24% and 2% across the rest of the UK.

Meanwhile, mixed gender teams have the lowest death rate at 13%, and an exit rate of 3%.

All-male founding teams have the highest exit rate at 5%, and a death rate of 19%.

Exit and death rates in Scotland by gender of founding team



Aerospace

Scotland is already home to a strong aerospace technology and manufacturing industry, with 16 ambitious companies operating in the area.

These companies have now been given an extra boost, as local authorities have approved plans to launch rockets from the Highlands.

This means small commercial satellites and launch vehicles designed and manufactured in Scotland could be taking off from Sutherland within the next few years, with up to 12 launched each year.

Additional Spaceports are planned in other parts of the country, including Shetland. Plus, an aerospace centre of excellence will be built adjacent to RAF Lossiemouth in the north-east Scotland — facilitated by £33m of funding from government and local partners.

High-growth aerospace companies in Scotland



Top 5 Scottish startups and scaleups

We've profiled the five companies that have secured the largest pre-money valuations in Scotland. Unsurprisingly, Brewdog tops the list, after attaining a valuation of £1.71b in October 2018. But who else has made the ranking?

1. Brewdog | £1.71b

Founded 2006

Sector Food & Drinks

Location Aberdeenshire



BrewDog produces its own beer and operates a number of bars across the world. Founded back in 2007, by James Watt and Martin Dickie in the North East of Scotland, they began to brew their own beers after becoming tired of the industrially brewed lagers and ales that were dominating the UK market. In just 13 years, Brewdog has gone on to become one of the UK's fastest-growing brands and an industry leader in the craft beer market, having secured a staggering £287m in financial backing and an additional £2.38m in grants.



Around 22% of the privately-held company is owned by 120,000 beer-drinking investors who bought shares through BrewDog's crowdfunding campaign called "Equity for Punks". The brewery also has backing from investors TSG Consumer Partners.

Recently, the company has been helping in the fight against COVID-19 by making hand sanitiser at its distillery in Aberdeenshire and donated thousands of units to the NHS.

2. Build A Rocket Boy | £111m

Founded 2016

Sector Computer Games

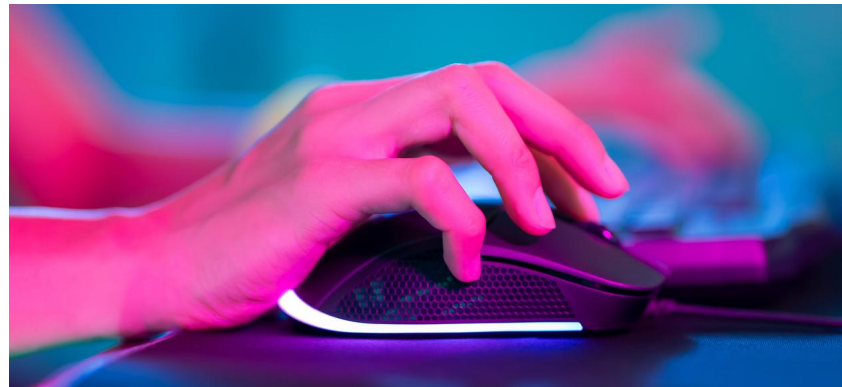
Location Edinburgh



Build A Rocket Boy (formerly Royal Circus Games) develops online games, with studios in Edinburgh and Budapest.

Founded in 2016, the company first started development with a team of just three ex-Rockstar North employees — Leslie Benzies, Matthew Smith and Colin Entwistle —and now numbers over 100 employees.

Currently, the company is in the process of developing ‘Everywhere’, a video game on the Amazon Lumberyard engine, which is set in an open world environment and



will have multiplayer functionality. The intention is to offer a game with a less restrictive experience and draw on influences from real life.

To date, Build a Rocket Boy has secured £32.5m in funding through just three funding rounds. In response to COVID-19, it has moved the entire company to a work-from-home setup and is continuing development.

3. Deep Casing Tools | £304m

Founded 1999

Sector Machinery, Oil and Gas

Location Aberdeen



Deep Casing Tools designs, engineers and manufactures tools for the oil & gas industry. Specifically, it focuses on innovations that make well construction, completion and casing recovery more efficient.

The company has been operating since 1999, but first came to our attention in late 2010, when it secured a £2.37m equity investment to the tune of a £302m pre-money valuation. Since then, the company has received a further £8.4m of investment, with backing from Scottish Loan Fund,



managed by Maven Capital Partners, Ev Private Equity, managed by Energy Ventures, and the Scottish Venture Fund, managed by Scottish Enterprise.

Its most recent valuation was £304m. But this was agreed back in 2013, and may be several times higher in 2020.

DCT reported a 120% increase in sales through 2019, and recently won a \$13m contract with a national oil company.

4. Genius Foods | £102m

Founded 2008

Sector Food & Drinks

Location Edinburgh



Genius Foods is the brainchild of Lucinda Bruce-Gardyne, who founded the company after her son was diagnosed as gluten intolerant. Frustrated with the gluten-free options in supermarkets, she decided to bake her own.

The first Genius loaf hit the shelves in 2009. 12 years later, Lucinda is now a Non-Executive Director of the established company, which has a global footprint and a wide variety of products on offer.



Now under the leadership of CEO Peter Quinn, Genius has raised £32.6m of equity funding to date, across seven funding rounds. The company is backed by consumer-focussed, Brussels-based Verlinvest, among other undisclosed investors.

Genius secured a pre-money valuation of £102m at a £4.25m round in September 2016. In March of this year, the company received £1.5m in an unannounced funding round.

5. TC BioPharm | £76.6m

Founded 2014

Sector Pharmaceuticals

Location North Lanarkshire



The second female-founded business on our list, TC BioPharm develops pharmaceuticals to combat cancer and infectious diseases.

The company was founded in 2014 by CEO Michael Leek, COO Angela Scott, and now ex-employees David Gallagher and Artin Moussavi.

Now in its venture stage of evolution, the company has secured £18.4m in equity finance. Its most recent round

took place in November 2019, and totalled £4.52m at a pre-money valuation of £76.6m. Investors included Investing Women, an Edinburgh-based angel network, and Scottish Investment Bank.

Now, TC BioPharm is working on a treatment for COVID-19, commencing initial clinical trials at the Edinburgh Royal Infirmary. The company submitted documents to UK regulators to start safety trials on an experimental therapy designed to kill COVID-19 infected cells.

Are you looking to work with high-growth companies?

We don't blame you, they're an interesting (and valuable) bunch.

Explore and understand **all** of the UK's ambitious companies on the Beauhurst platform, from early stage startups to high-growth scaleups.

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